

Econ 0100 | MiniExam A | Version 1

This MiniExam will take 15 minutes with quick break to follow. MiniExams are designed to both test your knowledge and challenge you to apply familiar concepts in new environments. Treat it as if you're trying to show me that you understand the material. Show your work so I can understand your thought process for partial credit. And answer clearly and completely.

Academic Conduct Code

The following academic conduct code is designed to protect the integrity of your work, not to make school feel overbearing. Print your name/initials beside the five academic honesty agreements before beginning.

TW I pledge to my fellow students, the university and the instructor, that I will complete this MiniExam solely using my own work.

TW I will not use any internet connected devices or other online resources unless explicitly and individually cleared by the instructor (resources stored on my computer, table, or phone).

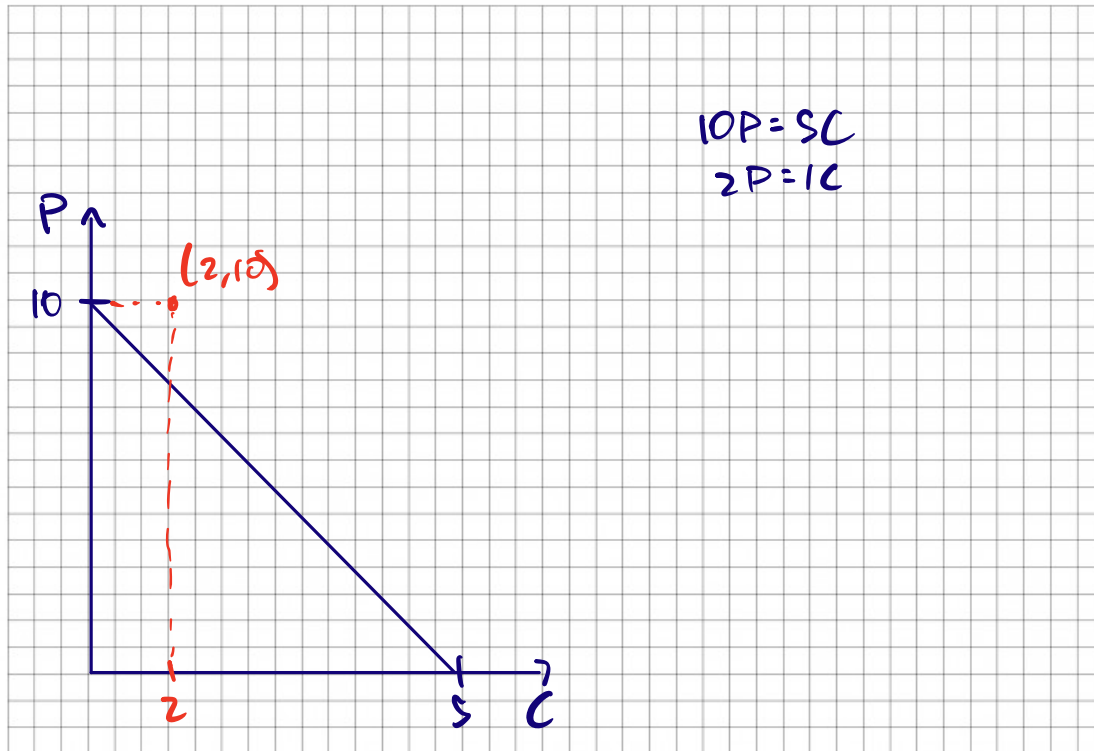
TW I am free to use hardcopy resources (the textbook, printed materials, hardcopy notes).

TW I will not communicate with others about the MiniExam, either in the room or remotely with a communication device.

TW I will not discuss the MiniExam with students who did not take the MiniExam during the same class period.

Q1 | Colin's PPF

Colin Creevey can bake 10 cornish pasties or 5 cauldron cakes in one day. Set up Colin's PPF on an x,y graph with pasties on the vertical and cakes on the horizontal. What is Colin's opportunity cost of producing 1 cake?



Opportunity cost of 1 cake: 2P

Q2 | Efficiency

Suppose Colin bakes 10 pasties and 2 cakes in one day. Is this inefficient, efficient, or unattainable. Use the graph above to justify your answer.

Inefficient, Efficient, or Unattainable: Unattainable

Q3 | Absolute and Comparative Advantage

Katie Bell also bakes cornish pasties and cauldron cakes at a neighboring bakery. She can bake 40 pasties or 8 cakes in one day. Set up a production table with both Colin and Katie's output per day. Who has the absolute advantage (AA) in pasties? Then set up an opportunity cost table with Colin and Katie's opportunity costs for each good. Who has the comparative advantage (CA) in pasties?

	P	C
C	10	5
K	40	8

	P	C
C	$\frac{1}{2}C$	2P
K	$\frac{1}{5}C$	5P

$$40P = 8C$$

$$P = \frac{1}{5}C$$

$$5P = 1C$$

AA in Pasties: Katie
 CA in Pasties: Katie

Q4 | An Improving Trade

Suppose Colin and Katie realize they can specialize and trade goods. After they specialize, what is a trade that would make them both better off?

1 Cake for 3 Pasties

$$2P < \frac{1}{2}C < 5P$$